ORAL ARGUMENT HELD ON FEBRUARY 8, 2024
No. 23-5129

In The United States Court Of Appeals For The District Of Columbia Circuit

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ALPINE SECURITIES CORPORATION,
Plaintiff-Appellant,

SCOTTSDALE CAPITAL ADVISORS CORPORATION
Plaintiff,

v.

FINANCIAL INDUSTRY REGULATORY AUTHORITY, INC.,
Defendant-Appellee,

UNITED STATES OF AMERICA,
Intervenor for Defendant-Appellee.

SUPPLEMENTAL BRIEF OF PLAINTIFFS-APPELLANTS

ON APPEAL FROM THE UNITED STATES DISTRICT COURT FOR THE DISTRICT OF COLUMBIA No. 1:23-cv-1506-BAH

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GLOSSARY OF ABBREVIATIONS

FINRA: Financial Industry Regulatory Authority

NASD: National Association of Securities Dealers

PCAOB: Public Company Accounting Oversight Board

SEC: Securities and Exchange Commission

INTRODUCTION AND SUMMARY OF ARGUMENT

The SEC's power to exempt entities from mandatory FINRA membership under 15 U.S.C. § 78o(b)(9) when "consistent with the public interest and the protection of investors," *id.* has no bearing on the merits of this appeal. This appeal concerns Alpine's narrow request to enjoin a particular enforcement proceeding while it litigates its constitutional claims. The SEC has granted Alpine no exemption from mandatory FINRA membership and has shown no indication whatsoever of doing so. Further, the SEC exemption power has no relevance to Alpine's Appointments Clause and presidential removal claims.

Even considering the question hypothetically and removed from the facts of this case, the SEC's past practice provides no reason to believe that the SEC would grant Alpine an exemption from FINRA membership. The SEC uses its exemption power to prospectively limit the outer edges of FINRA's jurisdiction or to excuse entities that would be an odd fit for FINRA regulation. Meanwhile, the SEC has refused to exempt ordinary broker-dealers who, like Alpine, serve the investing public. Indeed, there is not a single current SEC rule or order that exempts a broker-dealer like Alpine from FINRA membership.

The provision is only relevant to the extent it may expand the potential remedies for Alpine's private non-delegation claims by providing the SEC and FINRA a constitutional path forward that would not require a new Act of Congress.

Although this Court need not proscribe a remedy at this early stage, exempting Alpine from FINRA membership could provide a means to cure the problem of the SEC's inadequate supervision over FINRA's decision whether to impose the corporate death penalty. Other than providing an additional potential remedy to FINRA's private non-delegation problem, 15 U.S.C. § 78o(b)(9) is of no relevance to this appeal.

ARGUMENT

I. 15 U.S.C. § 78o(b)(9) Is Not Relevant to the Merits of this Appeal.

A. A Hypothetical Exemption From FINRA Membership—Which the SEC Has Not Granted and Shows No Sign of Granting Alpine—Has No Bearing on Alpine's As-Applied Challenge to a Real-World Enforcement Proceeding.

This appeal concerns Alpine's request to enjoin FINRA's enforcement proceeding against Alpine, which had already begun when a motions panel of this Court granted Alpine an injunction pending appeal. The SEC has not granted Alpine an exemption from FINRA membership under 15 U.S.C. § 78o(b)(9). And no party can credibly claim that the SEC has shown any sign or inclination to do so. Thus, under the current state of the world, Alpine is required to be a member of FINRA, and in fact is a member of FINRA. For that simple reason alone, the SEC's unexercised power to exempt parties from FINRA membership under 15 U.S.C. § 78o(b)(9) is irrelevant to this appeal. Until and unless the SEC chooses to exempt

Alpine from FINRA membership, the provision is inapposite to this as-applied challenge to enjoin FINRA's specific enforcement proceeding against Alpine.

B. Were This Not a Challenge to a Specific Enforcement Proceeding, 15 U.S.C. § 78o(b)(9) Is Still Irrelevant to the Bulk of Alpine's Constitutional Claims, Which Sound in Article II.

Alpine argues principally that FINRA's structure violates the Appointments Clause and the Constitution's protections on presidential supervision and removal, and 15 U.S.C. § 78o(b)(9) has no bearing whatsoever on those claims.

As Alpine has explained, FINRA's board structure is identical in all material respects to the board structure held unconstitutional in *Free Enterprise Fund v. PCAOB*, 561 U.S. 477, 482 (2010). And FINRA's appointment structure violates the Constitution's Appointments Clause under a straightforward application of *Lucia v. SEC*, 138 S. Ct. 2044, 2053–55 (2018). Neither of these structural claims turns on whether the SEC can make membership in FINRA optional, because they concern the President and Congress's supervision of FINRA officials, not the SEC's supervision of FINRA's enforcement activities.

C. 15 U.S.C. § 78o(b)(9) Does Not Ensure Sufficient Supervision Under the Private Non-Delegation Doctrine to Permit FINRA to Impose Penalties that Carry the Force of Federal Law In the Name of Federal Law Before the SEC Has Exercised Any Review.

The SEC's exemption discretion over FINRA membership is only potentially relevant (and even then, relevant only theoretically) to Alpine's private non-delegation claims. But the SEC's ability to exempt broker-dealers from FINRA

membership *entirely* does not ensure supervision of FINRA's enforcement decisions in specific cases. The SEC's power to exempt, which is hardly *supervisory* at all, since the SEC exercises it independently of any particular FINRA decision, is a poor fit with the federal enforcement power FINRA exercises.[1] The SEC's exemption option does nothing to address the mine run of cases in which the SEC will believe that it remains in the public interest for the broker-dealer to be regulated by FINRA in some fashion *but* believes that FINRA may have erred in a particular enforcement decision. This blunt, extreme instrument is not a substitute for the regular, substantive supervision required by the private non-delegation doctrine. *See Free Enter. Fund*, 561 U.S. at 504 ("Enacting general rules through the required notice and comment procedures is obviously a poor means of micromanaging the Board's affairs.").

In any case, the theoretical possibility that the SEC could exempt Alpine from FINRA membership does not alter the fact that FINRA can expel any broker-

[1] As Alpine has explained, "a private entity may not be the principal decisionmaker in the use of federal power, may not create federal law, may not wield equal power with a federal agency, or regulate unilaterally." *Oklahoma v. United States*, 62 F.4th 221, 229 (6th Cir. 2023) (cleaned up). Adjudication by a private entity, as with rulemaking, is proper where the government agency reviews the action before it becomes effective. *Oklahoma*, 62 F.4th at 231 (holding that a private entity is subordinate where it "may only 'propose' rules to the Commission" which rules cannot go into effect "unless the proposed rule has been approved by the Commission").

dealer—including Alpine—from the industry *before* the SEC or any government actor has had any chance to review FINRA's enforcement action.[2] FINRA swings the ax, and it does so unilaterally. Thus, even if the SEC believed that FINRA erred so greatly that exempting Alpine from FINRA regulation entirely were warranted, the SEC would not have a chance to do so before FINRA's self-executing enforcement decision took immediate effect and Alpine was put out of business.

D. 15 U.S.C. § 78o(b)(9) May Be Relevant to the Eventual Remedy of Alpine's Claims.

All Alpine seeks in this appeal is an injunction to prevent FINRA from expelling Alpine from its chosen industry while Alpine litigates its structural constitutional claims against FINRA.

To the extent the eventual remedy is instructive to this Court's consideration of the District Court's denial of preliminary injunction, 15 U.S.C. § 78o(b)(9) may be relevant because it provides a potential remedy. One option provided by the statute would be for the SEC to grant Alpine an exemption from FINRA membership, in which case Alpine could choose not to be a member of FINRA any longer and thus not face the looming threat of corporate death. The benefit of 15 U.S.C. § 78o(b)(9) is that it would provide the SEC and FINRA a constitutional path

[2] That course of events is far from theoretical—it is precisely what FINRA sought to do before its enforcement proceeding was enjoined by the motions panel of this Court.

forward without requiring either a new Act of Congress or for any Court to strike down an existing federal statute. The SEC could simply work within the existing statutory scheme to ensure that private parties would no longer be subject to corporate death by the unilateral action of an unconstitutionally unaccountable enforcer of federal law.

II. The SEC Invokes Its Power Under 15 U.S.C. § 78o(b)(9) Sparingly And In Inapposite Contexts.

The SEC uses its exemption power under 15 U.S.C. § 78o(b)(9) sparingly, and registration with FINRA is mandatory for those within FINRA's regulatory jurisdiction. *See* U.S. Br. at 11 (Oct. 27, 2023) ("By statute, any person who wishes to effect securities transactions must . . . become a member of a self-regulatory organization[.]"). The SEC uses the exemption provision to delineate the outer bounds of FINRA's regulatory jurisdiction and to cover factual situations that do not fit within FINRA regulation. *See, e.g.*, *No-Action Letters re Clerical and Ministerial Activities*, SEC (modified Dec. 19, 2023), https://bit.ly/49WSk9C.

The SEC has exempted:

1. The sale of shares in specific apartment units owned by corporations and organized and operated on a cooperative basis, when certain conditions are met. *See* 17 C.F.R. § 240.15a-2.

2. Broker-dealers who carry no customer accounts and effect transactions in securities only on the national securities exchange of which the broker-dealer is a member, with certain limitations. *See* 17 C.F.R. § 240.15b9-1.

3. Certain over-the-counter derivatives dealers; namely, those who do not engage in any other securities activities, including transactions in any security that is not "an eligible OTC derivative instrument." *See* 17 C.F.R. § 240.15b9-2; 17 C.F.R. § 240.3b-12.

4. Natural persons who are members of a national securities exchange and end their association with a registered broker-dealer. This is a temporary exemption that lasts just forty-five days and serves the "sole purpose" of allowing the person to effect transactions on the exchange floor. The SEC grants the exemption only upon application by the person and: (1) a Commission finding that the person complies in all material respects with Commission rules for registered brokers-dealers; and (2) a statement filed by the exchange that it reviewed the application and finds no grounds for denial. This exemption is unavailable if the individual has disciplinary proceedings pursuant to section 15(b)(1)(B) of the Act pending before the Commission. *See* 17 C.F.R. § 240.15a-4.

5. Certain nonbank lenders approved under the rules of the Small Business Administration, if they do not engage in effecting transactions in securities or in

buying and selling securities except in certain circumstances. *See* 17 C.F.R. § 240.15a-5.

6. The Federal Home Loan Mortgage Corporation, commonly known as Freddie Mac, a government-sponsored enterprise that injects funds for mortgage lending into the U.S. economy. In analyzing whether to provide Freddie Mac an exemption, the SEC "focused upon the availability of alternative means of providing investor protection." David A. Lipton, *A Primer on Broker-Dealer Registration*, 36 CATH. UNIV. L. REV. 899, 951–52 (1987). It also considered that Freddie Mac's "financial stability was insured by its status as a government instrumentality and its being subject to an annual government audit." *Id.* Ultimately, "oversight by the Federal Home Loan Bank Board, an independent governmental agency, was considered to be an adequate substitute . . . for the broker registration provisions." *Id.* at 952 (internal quotation marks omitted).

7. The National Association of Investors Corporation (now known as Better Investing, a non-profit dedicated to providing investor education and promoting investment clubs) conditionally and only for "limited activities." *See Letter to Robert A. Carpenter, Director San Diego Ch. NAIC, from Daniel Fisher, Special Counsel*, SEC No-Action Letter (May 14, 2004), https://bit.ly/49UA4NU (citing *Letter re: NAIC* (June 1, 1979) (granting conditional two-year exemption from broker-dealer registration)).

None of these exemptions makes it remotely plausible that the SEC would unilaterally exempt Alpine, a broker-dealer that carries customer accounts. In fact, SEC staff has stated in no uncertain terms that an exemption would *not* be appropriate where a broker-dealer serves the investing public: "There was no basis upon which to recommend to the Commission that it exempt a registered broker-dealer, which is an NASD member, from the requirements of Section 15(b)(8)," Fed. Sec. L. Rep. P 77021 (C.C.H.), 1995 WL 18221055, where, as here, the "broker-dealer effect[ed] transactions in securities on behalf of the public," *id.* and "would continue to conduct business with the public as an introducing broker-dealer," *id.* This was because an "introducing broker-dealer effecting transactions in securities on behalf of the public . . . clearly is the type of entity that Congress intended to be subject to the oversight and rules of a self-regulatory organization such as the NASD, including rules governing sales practices, advertising, and qualifications." *Id.*

Put simply, Alpine is not the kind of entity that the SEC exempts from FINRA membership. There is no reason in the record, or theoretically, to believe otherwise. The statutory provision has no bearing on the merits of this case.

CONCLUSION

For the foregoing reasons, 15 U.S.C. § 78o(b)(9) has no bearing on the claims at issue in this appeal.

Date: March 22, 2024 Respectfully submitted,

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CERTIFICATE OF COMPLIANCE

This document complies with the Court's Per Curiam Order of March 8, 2024 ordering supplemental briefing because this document contains 2,066 words excluding parts of the brief exempted by FED. R. APP. P. 32(f) and Circuit Rule 32(e)(1).

This document complies with the typeface and type style requirements of FED. R. APP. P. 27(d)(1)(E), 32(a)(5), and 32(a)(6) because this brief has been prepared in a proportionally spaced typeface using Microsoft Word for Office 365 in 14-point Times New Roman font.

Date: March 22, 2024

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CERTIFICATE OF SERVICE

I certify that before 4:00pm on March 22, 2024, I filed the foregoing document via the appellate CM/ECF system of the United States Court of Appeals for the District of Columbia Circuit. I have also caused paper copies of the foregoing document to be delivered to the court before 4:00pm on March 22, 2024. I certify that all participants in the case are registered CM/ECF users and that service will be accomplished by the appellate CM/ECF system.

Date: March 22, 2024

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